

M/s. ARADHYA ELECTRICALS & ENTERPRISES Aradhya Tal Mohol At PO Kuranwadi Distt Solapur At PO Kuranwadi Solapur -413213 Solapur	KALPATARU POWER TRANSMISSION LIMITED 7th Floor, Kalpataru Synergy, Opp. Hotel Grand Hyatt, Santacruz (East) MUMBAI 400055 Telephone No :
Order Number : 2400107302 Date : 04.03.2022	Fax No
Quotation Ref. No. & Date :	Email :
Project Reference :	
GST. 27CXDPS1833F1ZG	GST No. 27AAACK8387R1ZJ

SERVICE ORDER / WORK ORDER

Sr No	Code	Description	Qty.	UOM	Rate	Value
10	CONSTRUCTION OF SSP POTUL					
	17001:E	Construction of Switching Station Buildg SAC Code :	1	EA	240000.00	240,000.00
	P/L M25 CONCRETE	Providing and laying of M25 concrete SAC Code : 995426	10	M3	4850.00	48,500.00
	1000827	Revetment RR Masonry SAC Code :	80	M3	4000.00	320,000.00
	107PLW220 GIS	Plaster work SAC Code : 9997	70	M2	200.00	14,000.00
	RL16B-IT2003:E	M 10 concrete SAC Code : 995421	25	M3	4600.00	115,000.00
	RL019PSA35	Earthwork in excavation SAC Code :	10	M3	200.00	2,000.00
	TMT_CBF	Cutting, Bending & fixing of TMT SAC Code : 995421	2.800	MT	7000.00	19,600.00
	30014:E	Supply and spreading of gravel/ ballast SAC Code :	8.130	M3	1200.00	9,756.00
	30008:E	P&L of Reinforced Concrete SAC Code : 995421	30	M3	4850.00	145,500.00
	16013:E	Elect of Switching Station Building SAC Code :	1	EA	28000.00	28,000.00
	30021:E	ExtraEarthworkinfillingatSWS,TSS SAC Code :	150	M3	380.00	57,000.00
	Activity Sub Total					999,356.00
Total of Price						999,356.00
Total Taxes						119,922.72
Grand Total						1,119,278.72
Eleven Lakh Nineteen Thousand Two Hundred Seventy Eight Rupees Seventy Two Paise						

For Kalpataru Power Transmission Ltd.

GENERAL TERMS & CONDITIONS

1. Scope of Work:

Execution of Civil & Electrical work of Switching Post (SP/SSP) at Potul for EPC-04 Railway Project as per the Bill of Quantities Provided herewith in PO/WO. The scope of work include Execution of Civil & Electrical work at the locations advised by KPTL/CORE in accordance to the layout drawing provided by KPTL/CORE and as per detailed specifications provided in the main contract entered in between CORE and KPTL.

The scope of works includes but not limited to the followings;

- Mobilizing site with requisite manpower, plant & equipment, tools & tackles, materials, machineries etc. including consumables items and other finishes as per requirement of Specifications.
- Arrangement of raw materials, facilitating Testing, Liasioning with concerned authorities, Source Approval, EC Clearance if applicable etc. are in sub-contractors scope.
- Loading, Unloading, transportation, all lead, lift, safe storage, watch & ward on round the clock basis in sub-contractors scope.

- d) Cement and reinforcement will be free issue material on reconciliation basis. Any other material issued to contractor except free issue item will be debited back to back.
- e) Electrification work of SP/SSP is including Labour & material cost i.e Ceiling Fan, Exhaust fan, Tube, LED Bulb , copper wire, conduit pipe etc. as per client requirement.
- f) Earth filling work is including Royalty charges .
- g) Providing services during defect liability period and completion of all contractual obligations including demobilizing and clearing the work site, providing reconciliation of materials, royalty reconciliation till issuance of Taking Over Certificate by CORE (if applicable).
- h) All the works as described in Bill of Quantity (BoQ) of PO/WO, are to be executed as per approved quality by CORE/KPTL. Further, all items to be executed as per the relevant specifications applicable as per the terms of the main Contract with the Employer (i.e. CORE) including railway manuals, latest specifications and guidelines as applicable to the present scope of work.

2. Material, Machinery & Manpower: All materials, machineries, Tools and Tackles, Laborers, temporary establishment etc. required for execution of works are included in Sub-Contractor rates. The materials to be used in the project has to be from approved brand/source and to be procured only after written consent from KPTL representative.

- a) If any material used beyond the consumption/ allowable limits, KPTL will recover the cost of same as per issue Rate/ market (whichever is higher) rates plus 10% towards overheads, from the Sub contractor's running bill.

3. Storage/Transportation: Scope of storage, Loading, Un-Loading and Transportation of manpower, machinery, materials etc. are included in Sub-contractor's rates.

4. Sub-Contract Price and unit Rate:

The Sub-Contract Price for completion of Scope of Work is as mentioned in PO. This being a re-measurable contract the amounts paid shall be based on agreed unit rates as given in the BoQ and quantities of work performed and certified by KPTL representative. Except as otherwise provided under this Work Order, the unit rates shall be fixed, firm and binding till the completion of the works.

5. Price variation (PV):

The amounts payable to the Sub-Contractor as mentioned in BOQ are firm and fixed till completion of the subcontracted work. No PV is applicable for this work Order.

6. Definitions:

- (a) The EPC contract has been awarded by CORE (referred as Employer) to Kalpataru Power Transmission Limited (referred as 'KPTL' or the 'Company'). The Project Manager of the Company will be referred as the Company's Engineer or Engineer.
- (b) All definition as per the main contract between CORE and Kalpataru Power Transmission Limited (KPTL) will be applicable to this contract also except for the changes applicable to the context of contract and Sub-contractor.

7. Technical Specification:

All attached items in BOQ are to be executed as per approved quality by CORE/KPTL. Further, all items to be executed will be as per the Specifications provided in the main Contract Conditions with CORE including railway manuals as applicable. In case, specification for any item necessary for completion of building is not available in Specifications/Main Contract, the CORE Standard and Specifications for material and works/ any other relevant codes shall be followed as decided by KPTL Authorized representative. In case of any contradicting instructions in the specifications, KPTL decisions shall be final and binding to the Sub-contractor without appeal.

8. Progress of Work and Completion Schedule:

- 1. The Sub-Contractor should mobilize and commence the works within 1 week /as advised by KPTL and should complete the works as per date of commencement. The date of commencement shall be informed by KPTL representative once the drawings are approved and layout finalized by CORE.
- 2. Contractor will mobilize the required resources including but not limited to the minimum equipment and manpower, Engineers and staff and Technical Representatives in coordination with KPTL to deliver the works in said timelines.
 - a) The Sub-Contract Works are to be carried out diligently in accordance with the program in such order, manner, and time as KPTL may reasonably direct so as to ensure completion of the Works or any portion thereof by the completion date.
 - b) Sub-Contractor hereby agree that time is of the essence. Therefore, The Sub-Contract Works are to be completed within the Sub-Contract Period .
 - c) The Sub-Contractor has to submit detailed Work Completion program within 15 days from the date of Work order and the rate of progress will be monitored on fortnightly basis or as per requirement of KPTL. Any shortfall/failure to achieve the required progress will be notified to the Sub-Contractor and Sub-Contractor shall submit a recovery plan within 07 Days for acceptance by KPTL and adhere to the same.
 - d) In case the subcontractor progress /performance is not as per program /expectation the contract can be terminated and balance works can be done though other agency or KPTL on risk and cost of the Subcontractor and Subcontractor would not have any claim on this account.

9. Taxes: Unit Price are inclusive of all applicable taxes, Duties, royalty etc. except GST, which is separately payable. Vendor has to submit the GST Challans for previous bill along with the next bill for processing of RA Bill.

If any amount of credit, refund or any other benefit is denied or delayed to the KPTL or any penal charge is imposed on KPTL due to any non-compliance by the Sub-Contractor (including but not limited to the failure to upload or incorrect disclosure of details on the GSTN portal or delay/ failure to deposit tax or due to non-furnishing or furnishing of incorrect/ incomplete documents by the Sub-Contractor), wrong determination of nature of supply, the Sub-Contractor shall be liable to reimburse/compensate the loss and damage which accrues to the KPTL on the aforesaid account. Alternatively, KPTL shall be entitled to withhold the payment of all the subsequent bills issued by the Sub-Contractor

10. Royalty / Seigniorage Charges: Unit Rates are inclusive of all royalty, seigniorage and mineral charges etc. Any liaison etc. required for the works including statutory approvals, environmental clearances etc. from concerned authorities shall be under Sub-contractors responsibility. Sub-contractor has to submit the challans / receipts (In original) for previous bills along with the next bill for processing of RA Bill, failing which the corresponding royalty amount plus additional 10% payment shall be put on hold for non-submission of royalty challans. This hold amount will be released only after submission of supporting documents to the satisfaction of KPTL Engineer, without any interest. Withholding such amount from the Sub-Contractor's bill shall not relieve the Sub-contractor from complying with the any of applicable rules under Law. Any complication arising due to such non-compliances shall be attributed solely to the Sub-contractor and KPTL shall not be responsible in any case what-so-ever.

All the Royalty is to be paid in the name of KPTL. In exceptional case if the royalty for any material is required to be paid to Government by Company (KPTL), the same will be arranged by the contractor and Payment may be made by the company to the Government as per the demand note of the Government, which shall be recovered from the contractor subsequent bill.

11. Mode of Measurement & Stage of Payment: Measurement of quantities will be the quantities as executed by Sub-contractor measured by KPTL Engineer and approved by KPTL Project Manager. The Quantities will be reconciled with final approved as built drawings and final payment will be made/adjusted/recovered accordingly.

12. Terms of Payment:

a. In may be noted that CORE have awarded the contract to the KPTL on EPC basis and CORE will make payment to KPTL as per payment schedule of the main contract. Hence, the contractor is encouraged to execute the work according to the payment stages as given in schedule of main contract and as per the directions of KPTL.

b. Invoices shall be raised on monthly basis. Payment shall be released as follows:

i) 95% of due payments will be released within 15 days after successful certification of executed quantity by KPTL Project Manager.

ii) 5% Security Deposit will be deducted against each bill, which shall be released after Completion of the Defect Liability Period and submission of all related documents towards statutory compliances like royalty challans, Reconciliation, Warranty guarantee certificates, environmental clearances etc. as applicable.

c. The following deductions shall be made while certifying the amount payable against each bill:

Any main contract debits as applicable for the present Contract;

i) TDS, as applicable

ii) Any other amount payable/deductible in respect of any breach or allowed under the Contract;

iii) Any deduction made by Owner pertaining to the present Scope of Work.

d. The Sub-Contractor shall submit to KPTL a written statement showing the sum that the Sub-Contractor considers to be due to the Sub-Contractor calculated as above at the Due Date.

e. The Application for Payment/Invoice must specify the basis on which the Sub-Contractor has calculated the sum due and include such details as KPTL may reasonably require to facilitate the calculation and checking by KPTL of the value of Sub-Contract Works executed and of the sum which the Sub-Contractor considers to be so due.

f. The Sub-contractor shall submit the invoice complete in all respect including proof of GST deposition of the last bill paid, PF Challans, ESI Payments, reconciliation of free issue materials (If any), DPR/RFI signed by the Employer (as applicable) and any other documents as mentioned elsewhere in this Work order/LOI/required by KPTL.

g. Each instalment of the Sub-Contract Price shall become due to the Sub-Contractor thirty days (the "Due Date") following the relevant certification for payment. No interest shall be payable for any delays in payment for any reason whatsoever.

h. The sub-contractor shall provide valid invoice as per GST rules so as to enable KPTL to avail ITC as per prevailing rules. In case ITC is denied because of sub-contractor's failure, the same shall be recovered from the sub-contractor. ITC as applicable shall be reimbursed on submission of documentary proof of deposit with Govt. and other required documents. The sub-contractor shall assist KPTL in all documentation required for computing GST as and when required.

i. If the sub-contractor is not registered under GST or if it fails to charge GST in the monthly bills, KPTL shall not accept any claim of reimbursement of GST at a later stage and liability of GST will have to be borne by the sub-contractor alone.

13. Quality: Quality of works shall be as per the specifications of KPTL main contract with client (CORE) on back-to-back basis and to the full satisfaction of KPTL/CORE.

14. Safety: Sub-Contractor should arrange for own PPE gear for his workmen and should also follow safety guidelines of KPTL and Client (CORE), in view of the failure to provide PPE gear, KPTL shall provide and the costs for the same shall be recovered from Sub-contractors RA bill. It shall be the contractor's responsibility to take adequate precautions regarding safety of man and machineries including Licenses, Vehicle fitness report and other required as per Safety guidelines of KPTL/CORE and applicable Rules/Laws. Mandatory PPE for the

Projects as per KPTL HSE Guidelines is Hard Hats, High Reflective Vest and Safety Boots. Any penalty levied by Employer on KPTL due to safety lapses/violation of the sub-contractor shall be recovered from the dues of the sub-contractor.

15. Quantity Variation: KPTL reserves its right to vary quantities in Sub-Contractor scope to any extent. Unit rates will remain fixed and firm for a variation of (+/-) 25% of given quantities in the BoQ. In case of unsatisfactory performance of the Sub-Contractor, KPTL reserves the right to short close the work order at any particular time without any compensation to the sub-contractor on any account whatsoever.

16. Statutory Compliances:

a. The Sub-Contractor shall, in performance of its obligations under the Contract and in carrying out of the scope of works, ascertain and comply with applicable laws. The Sub-Contractor shall indemnify KPTL, its affiliates and its respective directors, officers, employees and agents against losses, claims, costs, compensation claimed before a court of competent jurisdiction and liabilities, including any penalty and sanctions payable to any person, together with any legal expenses incurred in connection therewith, to the extent arising out of any act of omission or commission of the Sub-Contractor, any Sub-Supplier or their respective agents or employees to comply with Applicable Laws, including but not being limited to Contract Labour regulation (Prohibition and Abolition) Act, Employee State Insurance Act, Provident Fund Act, Minimum Wages Act, etc, in the performance of its obligations under the Contract.

b. If the Sub-Contractor finds any divergence between Applicable Laws and the Performance parameters/ Guarantees or the Technical Specifications (other than Change in Law) they shall immediately give to the other Party written notice specifying the divergence. The Sub-Contractor shall promptly upon becoming aware of the same, inform the KPTL in writing of its proposed amendment for removing the divergence, and with the KPTL's prior written consent the Sub-Contractor shall entirely at their own cost and expense complete the Works in accordance with the amendment.

c. For allotted / assigned job work, Sub-Contractor shall be solely responsible for taking all necessary safety and health precautions including social distancing and other hygiene aspects for all labours engaged directly/ indirectly by him. Sub-Contractor shall be responsible for cover of all labours engaged directly or indirectly by him under ESI & PF Acts and all other Applicable Laws and proof of compliance with the provisions of such Applicable Laws shall be produced before commencing the work. Further the Sub-Contractor shall also be liable to submit all documentary proofs of making compliance with the requirements of Applicable Laws, more particularly with respect to Labour Laws and /or Industrial Laws and the KPTL shall only process the payments of the SUB-Contractor, upon receipt and verification of such documents and certifying compliance with all Applicable Laws.

d. Sub-Contractor shall be solely responsible for payment of any compensation towards its labours appointed directly or indirectly, which may arise due an accident of fatal or non-fatal by nature or on account of any act of omission or commission during execution of the assigned job under the Contract.

e. Sub-Contractor shall be responsible for practicing and following all safety norms and standards prescribed by KPTL/ under Applicable laws time to time, upon breaching of which, KPTL may terminate above said Purchase Order/ Contract or may impose penalty for the same which shall be recovered from any pending invoices / bills due to the Sub-Contractor. In case of the termination of Purchase Order / Contract, KPTL shall not be liable to pay any compensation towards cancellation of the job / work assigned to the Sub-Contractor whatsoever under the Contract/ PO as the case may be.

f. KPTL reserves its right to visit Factory/ establishment / site of Sub-Contractor before or during execution of PO/ Work order at its sole discretion to ensure due compliances of Applicable Laws by Sub-Contractor.

g. The Sub-Contractor shall obtain and submit copies of following registration certificates and documents:

- a) Registration under GST
- b) PAN Card issued by Income Tax authorities.
- c) Registration with PF, ESI & Other labour law authorities.
- e) Insurance policies including workmen compensation policy
- f) Labor License is in KPTL Scope.
- h) Copy of the Attendance Register and Register of Wages
- i) Permission required for extraction of soil/earth/sand or any other material from concerned authorities
- j) Any other license(s)/registration(s) as may be required by KPTL

h. In case KPTL is made liable to pay any wages, compensation etc. due to non-fulfillment of the above obligations by the sub-contractor, all such payments shall be recovered from the sub-contractor bills/ Security Deposit. The sub-contractor will also be liable for all costs and expenses incurred by the company, if the company is made/forced to deal with any Labour Dispute arising out of contractual labour or staff force.

17. Insurance: Any insurance required for sub-contractor for his resources (machinery, manpower etc.) is in the scope of sub-contractor and shall be included in his rates.

18. Warranties, Representations And Covenants

Sub-Contractor hereby assures, represent, warrant and covenant with the KPTL that;

- (a) Sub-Contractor has the full right, power and authority necessary to enter into, deliver and perform its obligations under this Work Order.
- (b) Sub-Contractor has obtained all permits, approvals and Licenses required under Applicable Laws, if any, necessary to give effect to this Work Order. This Work Order constitutes a legal, valid and binding agreement/ obligation of Sub-Contractor, enforceable in accordance with its terms and conditions.
- (c) The execution and delivery of this Work Order does not, and the consummation of the transactions contemplated hereby, will not (a) require the consent of any third party, (b) violate or result in a breach under any agreement, statute, regulation, rule, order, judgment, decree or other legal requirement applicable to Sub-Contractor, and (c) constitute an act of bankruptcy, preference, insolvency or fraudulent conveyance under any bankruptcy act or other applicable law for the protection of debtors or creditors.
- (d) There is no action, suit, proceeding or investigation pending or threatened against the Sub-Contractor which questions the validity of this Work Order or the right of Sub-Contractor to enter into this Work Order.
- (e) Sub-Contractor fully understands that this Work Order is for the provision of services and KPTL has no liability whatsoever for and in connection with the health and safety of any of the personnel and/or workmen provided by Sub-Contractor and Sub-Contractor will ensure and be completely responsible for maintaining safety and protection of all such personnel and/or workmen. During the term of this Work Order, Sub-Contractor shall take suitable insurance cover for its personnel and/or workmen and KPTL shall in no way be liable to pay any compensation arising out of any claim on account of litigation, injury or death etc. to such personnel and/or workmen.
- (f) Sub-Contractor hereby agrees to indemnify, defend and hold the KPTL harmless from and against all liabilities, obligations, losses, expenses, costs, claims and damages asserted against, imposed upon or incurred by the KPTL by reason of or resulting from any breach or inaccuracy of any representation, warranty or covenant of Sub-Contractor set forth in this Work Order or any other breach of this Contract by Sub-Contractor. The indemnification rights of the KPTL under this clause is independent of, and in addition to, such rights and remedies as KPTL may have at law or in equity or otherwise, including the right to seek specific performance, rescission, restitution or other injunctive relief, none of which rights or remedies shall be affected or diminished thereby.

19. Liquidated Damages:

If the Sub-Contractor fails to complete the works within the specified time, Sub-Contractor is liable to pay liquidated damages computed @ 0.2% per week of the Sub-Contract Price. The aggregate amount of such liquidated damages shall in no event exceed 5% of the Sub-Contract price. The Liquidated damages agreed as above is a genuine pre-estimate of damage to be suffered by KPTL in the event of delays caused by the sub-contractor.

20. Guarantee /Warranty And Defect Liability Period:

The Sub-contractor shall strictly follow the Specifications, good engineering and construction practices to carry out the Works. The sub-contractor warrants that the construction material and workmanship shall be free from defects for a period of 6 (Six) months commencing on issuance of completion certificate by the Employer. In the event the sub-contractor fails to remove the defects within the time specified by the Employer /KPTL, then KPTL may proceed to remove such defects at the risk and cost of the sub-contractor and recover the amount from the bank guarantees or other dues of the sub-contractor.

21. Risk Purchase:

In the event of failure of the sub-contractor to execute the order as per terms and conditions herein stipulated, a notice shall be given by KPTL to improve the progress and/or increase resources or remedy any breach. If no corrective action is taken, within the time period stipulated in the said notice, by the Sub-Contractor, KPTL reserves the right to terminate the Work order in part or full and may get such works executed at the risk and cost of the Sub-Contractor. The Sub-contractor shall have no claims whatsoever against KPTL for idling/delays etc. unless specified otherwise in this Work Order. It is also agreed that the sub-contract can be assigned to the Employer in the event of termination of the main Contract by the Employer.

22. Force Majeure:

The following shall constitute Force Majeure:

- a) Acts of God, and other causes such as strikes, lockout or other concerted action of workmen, war, sabotage, riots, civil commotion, police action, revolution, flood, fire, earthquake and epidemic or any other event(s) beyond the control of any Party.
- b) If Subcontractor suffers delay in the due execution of the contractual obligations due to delays caused by force majeure as defined above, the agreed time of completion of the work covered by this contract and of the obligations of the Sub-Contractor shall be extended as may be determined by KPTL, provided, that on the occurrence of any such contingency, the Sub-Contractor immediately reports to KPTL in writing, the cause of delay with requisite documentary evidence and also the remedial steps being taken and the expected period of interruption.
- c) Force majeure conditions prevailing at the works of the sub-contractor(s)/vendors shall not be recognized by KPTL on any account and it shall be upto the Sub-Contractor to make necessary alternative arrangement to execute the Contract Works within the time for completion.
- d) The decision of KPTL whether there is a Force Majeure condition or not and whether extension of time shall be granted or not shall be final. KPTL shall not be liable for delays in performing its obligations resulting from any force majeure event as referred above. No increase in price shall be payable due to force majeure condition. However, any benefit of price fall shall be passed on to KPTL.

23. Confidentiality:

All information, systems, procedures or other intellectual property such as patents, trademarks, copyrights acquired by you from KPTL shall

be treated as confidential by you and shall not be used otherwise than for the purpose of this contract without the prior written consent of KPTL.

You hereby undertake that you and/or any of your representatives, director(s) or employee(s) of or its affiliate shall not, without limit of time, divulge or communicate to any third party or use for your own purposes any information about the affairs of the business/projects of KPTL except as may be necessary for you to perform its obligations under this contract or as may be required by law, any regulatory authority or the rules of any relevant stock exchange within or outside India and except such information as may have come into the public domain otherwise than by a breach of this undertaking or with the prior written approval of KPTL. This clause shall survive any termination or any legal invalidity of this contract.

24. Termination/ Cancellation

(a) KPTL shall have a right to terminate this Work Order without assigning any reason at any time.

(b) KPTL shall be entitled to terminate the Work Order, with immediate effect, without giving any notice, if:

(i) Sub-Contractor is in breach of its obligations under this Work Order and, in the case of such breaches capable of being remedied, fails to remedy that breach within fifteen days of receiving notice of such breach from KPTL (such notice to specify that it is given under this Clause); or

(ii) Sub-Contractor or its personnel/representative/affiliate takes any action which leads to or which has the potential to adversely affect the reputation or goodwill of KPTL, its affiliates, associates, promoters, directors and key personnel;

(iii) Sub-Contractor is adjudicated as bankrupt, or voluntary or involuntary petition has been filed by or against Sub-Contractor, or dissolution is commenced by or against Sub-Contractor.

(iv) Sub-Contractor fails to obtain, renew or maintain any license, registration, or approval required by law in connection with the execution of the obligations under this Work Order, or if any such license, approval or registration shall be revoked, suspended, terminated, or shall otherwise expire.

(v) if Sub-Contractor violates any Applicable Law or regulation.

(vi) if Sub-Contractor assigns this Work Order without prior written consent of KPTL.

(vii) Sub-Contractor gives or offers to give (directly or indirectly) to any person any bribe, gift, Gratuity, commission or other thing of value, as an inducement or reward:

i. For doing or forbearing to do any action in relation to the Work Order. or

ii. For showing or forbearing to show favor or disfavor to any person in Relation to the Work Order.

OR

if any of the Sub-Contractor's Personnel, agents or Sub suppliers gives or offers to give (directly or indirectly) to any person any such inducement or reward as is described in this sub-paragraph (h). However, lawful inducements and rewards to Supplier's Personnel shall not entitle termination.

© Termination of this Work Order shall not affect the rights, liabilities and obligations accrued before the termination of this Work Order including, without limitation, (i) liability for losses or damages suffered by KPTL owing to breach of this Work by Sub-Contractor, and (ii) obligation of confidentiality as specified in this Work Order.

25. Indemnity

Sub-Contractor shall indemnify, defend and hold harmless KPTL, its affiliates, associates, promoters, directors and key personnel from and against any and all claims, losses, damages and liability (criminal or civil) which may be incurred or suffered by any of them and which may arise out of or result from

(a) any breach of any representation, warranty, covenant or agreed of the Sub-Contractor contained in this Work Order including, without limitation, any and all actions, suits, proceedings, claims, demands, assessments, judgments, costs and expenses, legal fees and expenses incurred in enforcing this Indemnity.

(b) Any conduct by the Sub-Contractor or its employees, sub-agents, servants, canvassers, clerks or delegates as a result of which in whole or in part KPTL is made party to, or otherwise incurs any loss pursuant to an action suit claim or proceeding arising out of or relating to such conduct; or

(c) Any contravention of laws relating to any action or proceeding taken against the agent in connection with any such contravention or alleged contravention by the Sub-Contractor;

(d) Negligence of the Sub-Contractor, including through any claim made by the third parties, because of any act or omission on the part of the Sub-Contractor its employees, sub-agents, servants, canvassers, clerks or delegates etc.

26. Exclusions

The sub-contractor has clearly understood that the terms and conditions herein contained, has been negotiated by and entered into on behalf of the Company and the sub-contractor understands and accepts that the Chairman of the Company, the Managing Director of the Company, and/or any Director(s) of the Company has no part to play in the negotiations and execution of these presents and accordingly is not liable at all in contract, tort or crime in respect of this Work Order or any acts pertaining thereto including prior to its execution. The sub-contractor accordingly undertakes that under no circumstances shall he/it sue and/or prosecute the Chairman of the Company, the Managing Director of the Company, and/or any Director(s) of the Company in respect of the breach of any terms and conditions herein or in respect of any acts, deeds or statements that preceded this Sub-Contract and pertaining to it.

27. Cross Fall Breach And Set Off

The sub-contractor shall be bound by the terms of this Work Order as also any and all other Work Orders / Agreements / Contracts with the Company. The breach or default by the sub-contractor under any of the Work Orders / Agreements / Contracts shall be a default under all the Work Orders/ Agreements/ Contracts and the Company shall have the right to exercise all rights that it may be entitled to in the event of breach or default by the sub-contractor under any and all the Work Orders / Agreements / Contracts.

The sub-contractor further agrees and confirms that, the Company shall at all times have the right to deduct or adjust or set off all or any monies from any due (s) payable to the sub-contractor under this Work Order / Subcontract and/or under any other Work Order(s) or Agreement(s) with the sub-contractor or any of the account of the sub-contractor or any of the Bank Guarantees (i.e. Performance or Advance or Retention or Security Deposit) of the sub-contractor.

28. Governing Laws & Jurisdiction:

The Work Order shall be governed by the Laws of India and courts in Delhi shall have exclusive jurisdiction over all matters arising out of or relating to this Work Order. Notwithstanding the place where the Work Order is signed or where the work under the Work Order is to be executed, it is mutually understood and agreed by and between the Parties hereto, that this Work Order shall be deemed to have been entered into by the Parties concerned in Delhi.

29. Amendments

This Work Order may be modified only by a written instrument duly executed by both of us. All amendments and other modification hereof shall be in writing and shall be signed by both of us.

30. Business Ethics

Buyer requires that the Seller, including any person acting on their behalf, observes highest standard of ethics during the procurement and execution of the Purchase Order. In pursuance of this policy, Buyer shall be within their right to terminate this contract, if it determines that the Seller had engaged in corrupt or fraudulent practices.

31. Anti Bribery And Anti Corruption (ABAC) Clause

The Sub-contractor acknowledges that KPTL expects the Sub-contractor to conduct business ethically and lawfully.

I. In consideration of KPTL entering into this Agreement, the Sub-contractor shall:

- a. comply with the applicable laws relating to anti-bribery and anti-corruption and will not take any action or fail to take any action that would cause KPTL or any of its affiliates or its customers/clients to fail to comply with any applicable anti- corruption legislation;
- b. maintain in place its own policies and procedures to ensure compliance with the provisions of this Schedule and will enforce them wherever applicable;
- c. not offer or give gratuities in the form of entertainment, gifts or otherwise, or kickbacks, by itself or through its directors, executives, officers or other employees (whether permanent, fixed term or temporary), consultants, or contractors to any employee of KPTL, or any employee of the Owner, or any person thereto, for securing a favorable treatment from them;
- d. not take any actions in furtherance of an offer, payment, promise to pay, or authorization of the payment or giving of money, or anything else of value, to any government officials/ entities or to any non-government official / entity for the purposes of obtaining or retaining business, an advantage in the conduct of business or securing any improper advantage.
- e. promptly report through an email to the local compliance team or to the single point of contact at KPTL any request, or demand for any undue financial or other advantage of any kind received by it or its executive in connection with the performance of this Agreement;
- f. immediately notify KPTL in writing, if any public official or employee of the Owner, becomes an officer or employee of the Sub-Contractor, or acquires a direct or indirect shareholding interest in the Sub-Contractor.
- g. The Sub-contractor warrants and represents that as of the Effective Date of this Agreement there are no public officials who are officers, employees or direct or indirect owners of the Sub-Contractor; permit KPTL, its authorized representative, including third party auditors to inspect the accounting books and records relevant to the Agreement.

II. If the Project is funded by one of more funding bank or institution (the "Bank"), the Bank's anticorruption policy (as amended from time to time) shall apply to all suppliers, contractors and Sub-Contractors under Bank-financed contracts, and to observe the highest standard of ethics during the procurement and execution of such contracts. The Sub-contractor and their sub Sub-Contractors, vendors, suppliers shall comply with such policies of the Bank and permit KPTL, KPTL's representative, Bank or its representative to inspect the accounts and records and conduct audit relating to the performance of the Agreement.

III. Failure to comply with the above provisions shall constitute material breach of the Agreement. KPTL reserves the right to terminate the Agreement with immediate effect without any notice or cure period in such an event.

32. Acceptance Of Contract

This Work Order along with its enclosures is being sent to you in duplicate. You are requested to return one (1) copy of the same duly stamped and signed by your authorized signatory on each and every page as a token of acceptance and send it back to us within 3 days of receipt. In case we do not receive your clear refusal within this period it will be deemed as accepted by you.

GENERAL TERMS AND CONDITION OF PURCHASE ORDER

These shall be applicable when Kalpataru Power Transmission Limit (hereinafter referred to as "Buyer") place a Purchase Order / Contract Order on any party in India and/or outside the territory of India (hereinafter referred to as the "Seller").

This Purchase Order is governed by the terms and conditions stated hereunder which supersedes all previous negotiations and communications between the Buyer and the Seller (the Parties) and any terms and conditions that are agreed between the Parties.

This Purchase Order is the complete and exclusive statement of the terms and conditions of the agreement between Seller and Buyer. No variation, modification or addition to this Purchase Order shall be valid without written consent signed by Buyer's authorized representative.

1 Acceptance & Effective Date of the Purchase Order

1.1 Acceptance of Purchase Order

1.1.1 Buyer shall not be bound by this Purchase Order until Seller confirms their acceptance of the Purchase

Order in it's entirely to Buyer within 3 days of the date of the Purchase Order.

1.1.2 In case, the Purchase Order confirmation is not received within aforesaid 3 day period, the Purchase

Order shall be deemed to be accepted and the Seller agrees and undertakes that Seller shall be bound by the terms & conditions of this Purchase Order.

1.2 Effective Date of Purchase Order

These terms and conditions shall come into force upon signing of the Purchase Order.

2 Purchase Order Amendments & Changes

2.1 The goods/services supplied against this Purchase Order should strictly adhere to the specifications and

conform to the stipulated delivery schedule or any other further modification to the delivery schedule provided by the Buyer.

2.2 Buyer reserves the right at any time to make changes in any one or more of the following:

2.2.1 Specifications, drawings and data incorporated in this order

2.2.2 Methods of shipment or packing

2.2.3 Place of delivery

2.2.4 Time of delivery

2.2.5 Manner of delivery and

2.2.6 Quantities

2.3 Any subsequent change in the terms of this Purchase Order by way of adding to altering or rescinding the terms shall be valid only when it is made in writing and signed both the Parties.

3 Scope of supply and Pricing

3.1 The Seller shall design & manufacture or arrange from OEM and supply the materials as specified in the Purchase

Order. The Seller shall arrange for testing, packing & forwarding, loading, transportation, insurance, octroi clearance and unloading at Buyer's site and documentation, as are necessary to ensure the supply of goods and/or services as specified in the Purchase Order, unless otherwise agreed by the parties in writing.

3.2 The Seller agrees that the price(s) stated in Purchase Order shall be firm and valid till completion of supply of total quantity of this Purchase Order and not subject to price adjustment or escalation unless execution of a written subsequent Amendment to the Purchase Order.

4 Delivery Conditions

4.1 The delivery schedule as stipulated in this Purchase Order shall be the essence of the contract and no change or variation therein shall be permitted unless prior consent in writing has been obtained from the Buyer. If the delivery schedule is not included in this Purchase Order and is communicated separately to the Seller by the Buyer, such delivery schedule shall be treated as part of this Purchase Order.

4.2 The goods/services shall be dispatched /rendered and delivered strictly as stated in this Purchase Order and the delivery of the material shall be accepted at Buyer's respective stores/specific site locations on the day and time intimated and agreed.

4.3 The Seller shall send an Advance Shipping Notification to Buyer of at least 5 days before despatching.

4.4 Time is essence in the performance of this Purchase Order.

4.5 In the event of goods/services not meeting the specifications in terms of quality or timelines, the Buyer shall levy liquidated damages at the rate of 0.5% of the total Purchase Order price, per week or part thereof for every week or part thereof of delay until actual delivery or performance, up to a maximum reduction of 10% (ten percent) of the Purchase Order Value.

4.6 In case of delay beyond 30 days in supplying/providing the goods/services by the Seller, Buyer reserves the right to procure the goods/services from alternate source at the risk and cost of the Seller.

5 Packing & Forwarding

5.1 It shall be the responsibility of the Seller to properly pack the consignment to suit the mode of transport namely, by road, rail, sea or air as the case may be, so as to ensure its delivery at destination free of loss, damage, pilferage, etc. All goods shall be packed consignee-wise in suitable weather proof strong cases, wherever essential for air lifting to India and truck transport to the site in India. The packing shall be sufficient to withstand, without limitation, rough handling

during transit and exposure to extreme temperatures, dust and precipitation during transit and open storage. The Seller shall also consider packing case size and weights, the location of the final destination etc. The Seller is aware that some of the locations of the Buyer are in remote areas which may not have heavy handling facilities. The Seller shall adhere to all the statutes /laws/regulations of India in this regard. .

- 5.2 The consignment shall be prominently marked showing the Purchase order number and date clearly. The Seller shall mark all details for identification of packing as required by relevant authorities and so as to make it most convenient to identify the packages at the ultimate consignee's end.
- 5.3 All packages that require special handling and transport should have their centre of gravity and points at which they may be slung or gripped clearly indicated. Proper directional indications shall be given for fragility and mounting.
- 5.4 On each package it shall be clearly marked in indelible ink, on two opposite sides and the top thereof, the name of the ultimate consignee, gross weight, Net Weight, outer dimension in cms and C.V. measurements.
- 5.5 All fragile and all exposed parts shall be packed with care and the packages shall bear the words "HANDLE WITH CARE" and "THIS SIDE UP"
- 5.6 Each package shall contain packing list indicating each item. Container wise packing list (wherever applicable) shall also be provided in advance. Packing List shall contain information such as the name of the ultimate consignee, gross weight, Net Weight, outer dimension in cms and C.V. measurements
- 5.7 All packing charges are to the account of Seller only unless specifically agreed to otherwise in writing by the Purchaser.
- 5.8 The Seller shall be liable for damage to goods / materials or articles caused by improper boxing, crating or packing as well as corrosion due to insufficient protection. In case of any damage during transportation by the Seller or during the storage by the Buyer, due to poor packing by the Seller, the damage shall be compensated by Seller to the Buyer.

6 Transportation & Insurance

- 6.1 Seller shall arrange for the transportation of goods from the Seller's works / Plant (s)/ warehouse(s) to the destination of the Purchaser as mentioned in Purchase Order.
- 6.2 The charges towards transportation are included in basic rates unless specified otherwise in the Purchase Order. In case the Purchase Order specifies that transportation charges will be paid, the Seller shall either claim the same on the face value of invoice itself or by way of separate debit note supported by invoice.
- 6.3 The Seller has to arrange necessary insurance coverage at his cost for the goods/services to be supplied by him. Seller shall be liable for insurance and insurance charges till the goods are handed over to the Buyer at the destination specified by the Buyer. All the goods supplied under the Purchase Order shall be fully insured against loss or damage incidental to transportation, storage and delivery, by the Seller at Seller's cost.
- 6.4 The insurance shall cover transportation ex-works to the destination as specified by the Buyer. The Seller shall arrange and pay for insurance naming Buyer as the beneficiary. The Way bills shall be drawn so as to indicate the name of the Seller, the shipper and names of port and the ultimate consignees. In case of imports, the insurance cover shall be for 110% of CIF value of the goods in a freely convertible currency.

7 Inspection

- 7.1 The Buyer reserves the right to inspect the goods prior to dispatch and also stage wise at the Seller's place, as the case may be. Before dispatch inspection shall be conducted at Seller's workshop/manufacturing unit/yard. The Buyer shall, at their discretion, depute representatives for examination of the goods at the time of packing and delivery. The Seller shall give 15 days prior notice and a letter of invitation for carrying out pre dispatch inspection. The goods shall not be dispatched unless the duly authorised person by the Buyer inspects and issues a certificate of inspection or the Buyer does not insist upon exercising the right to inspect.
- 7.2 The Buyer shall, at their discretion, conduct detailed inspection of the goods under Purchase Order, at destination as specified in the Purchase order for ascertaining whether the goods are in conformity with the Purchase Order. Until then, in no event the Buyer shall be deemed to have accepted such goods. Upon any rejection of the goods in question, the Seller shall be deemed to have failed to deliver the concerned goods in accordance with the Purchase Order.
- 7.3 Buyer's Weightment of goods supplied by the Seller shall be final and binding. Weight variation if any, will be settled at the Buyer's discretion and will be considered at the time of payment of the Seller's bills/invoices.
- 7.4 Goods received by the Buyer or any other receiving department shall be subject to subsequent inspection, verification or rejection and reserving the Buyer's right to reject the material found defective which shall be replaced by Seller free of cost, failing which, the Seller confirms and authorizes the Buyer to deduct the cost of the rejected material from the pending or future bills of the Seller.

8 Receipt of Goods and documentation required

- 8.1 Goods shall be delivered at the delivery address as mentioned in PO.
- 8.2 Goods shall be accepted subject to:
 - a) Providing Delivery Challan having mentioned the item No., item code along with corresponding material description, quantity and PO No. on Challan;
 - b) Duplicate for transporter's copy of excise invoice in case of excisable goods;
 - c) Packing list (If required)/Measurement /Weightment slip;
 - d) Receipt of Material Test Certificate / Internal Test & Inspection reports (as mentioned in PO);

- e) Receipt of any and all other documentation, which may be required, including drawings, data, installation/Commissioning, instruction Manual, DOs & DONTs and all documents as called for elsewhere in the PO
- 8.3 Seller has to ensure that the vehicle carrying ordered goods should report at the destination during day time between 9.00 am to 5.00 pm.
- 8.4 No charges for detention shall be claimed by the Seller for delay in unloading due lack of proper documents, rejection of goods or any cause beyond control of Buyer.
- 9 Rejections and Replacement
- 9.1 The Buyer shall have the right to withhold payment for material found not in conformity with the Buyer's specification irrespective of the title therein passed on to the Buyer. The rejected material shall be replaced or its price refunded to Buyer where already paid in advance, within 30 days from the date of receipt of the Buyers intimation of rejection failing which the Buyer shall charge interest at 18 % per annum on the value of rejected goods not replaced or not refunded.
- 9.2 All the rejected goods shall be removed by the Seller from the Buyer's premises within a period of one week from the date of intimation of rejection at the Seller's cost, failing which, the Buyer shall not be responsible for its care and protection or any loss or deterioration. The Buyer shall be entitled to dispose the same without any further notice to the Seller.
- 9.3 Buyer shall be entitled to recover or deduct from the bills of the Seller, freight, other levies and costs, if any, incurred by the Buyer in respect of rejected consignment including but not limited to the cost of shifting the rejected materials within the site and any expenses incurred to carry out test either at Buyer's testing facility or any other test facility appointed by the Buyer.
- 9.4 In case complete goods are not inspected due to packing or huge quantity and time constraint at the time of receipt, Seller shall replace/repair the rejected/damaged goods, if any as and when it is intimated to the satisfaction of Buyer at no extra cost.
- 9.5 Buyer shall be entitled to recover losses and/or rectification expenses which may occur due to supply of poor quality material discovered in later stage from Seller, over and above cost of the material supplied.
- 10 Invoicing Instruction
- 10.1 Invoice should be made out by the Seller in name of the Buyer and should be delivered within seven (7) days of dispatch of goods.
- 10.2 Buyer will not accept any invoices for excess quantities in respect of goods / services supplied under this Purchase Order. However, wherever such excess quantities are within reasonable limits in the opinion of the Buyer, keeping in view the standard lengths / sizes of individual products, such excess quantities may be accepted at Buyer's sole discretion. The Seller shall have no right to demand acceptance of any such excess quantities.
- 10.3 It is essential that the Seller should mention the item no., item code along with corresponding material description, quantity, rate and Purchase Order No., Challan no. with date etc. on invoice in the same sequence as mentioned in Purchase Order.
- 10.4 Invoices shall be fully supported by the following document(s):
- a) Test Certificate of internal testing at factory, if required
 - b) Acknowledged Challans duly stamped by site security personnel of the Buyer.
 - c) Weighment/measurement slip.
 - d) Other supporting(s) as mentioned in the Purchase Order.
 - e) Manufacturer's Guarantee/warranty certificate.
 - f) The word TAX INVOICE shall be mentioned on the top of the invoice. Only then VAT/CST- ITC will be allowed.
 - g) In case of excisable goods, SELLER will issue relevant Excise Invoice.
 - h) Seller shall clearly indicate Tax rates and the tax amount thereof separately.
 - i) Supplier shall also mention in the invoice(s) their TIN No. / ST No. / VAT No. / CST No. and date thereof.
 - j) Invoice shall be duly signed and sealed by the Seller or his authorized representative.
11. Duty, Taxes, Octroi and other levies
- 11.1 Excise duty is included in the basic rates, if not specified separately in Purchase Order. However Seller shall show the same separately in the invoice..
- 11.2 VAT/CST is included in the basic rates, if not specified separately in PO. However Seller shall show the same separately in the invoice.
- 11.3 Octroi/ Entry Tax/Cess are included in the basic rates, if not specified separately in PO. However SELLER shall show the same separately in the invoice supported with original receipt of Octroi.
- 11.4 If Octroi/ Entry Tax/Cess receipt is not submitted along with the invoice, invoice shall not be processed and NO PAYMENT shall be made towards these invoices.
- 11.5 In case of any shortfall/no payment of Octroi/ Entry Tax/Cess, it will attract the penalty equivalent to 10 times of actual Octroi/ Entry Tax/Cess amount (calculated on invoice value) as per act of local municipal corporations / statutory bodies.
- 11.6 If Seller insists for payment without Octroi/ Entry Tax/Cess receipt, Buyer may, at Buyer's sole discretion, release the payment against those invoices after deducting the amount equivalent 11 times of Octroi/ Entry Tax/Cess amount (actual Octroi/ Entry Tax/Cess amount + 10 times of Octroi/ Entry Tax/Cess amount towards penalty) subject to

submission of following by the Seller:

- a) Request letter informing the inability to furnish the original Octroi/ Entry Tax/Cess receipt of full value of Octroi/ Entry Tax/Cess amount payable and accepting for deduction of amount equivalent to 11 times of Octroi/ Entry Tax/Cess amount as per act mentioned above.
- b) Letter confirming the assurance of submitting the original Octroi/ Entry Tax/Cess receipt of full amount within the current financial year before closure of books of accounts and refund of deducted amount as per clause 11.6 (a). In case of failure to submit the same, no refund shall be made and whatever payment has been made towards the said invoice(s) shall be full and final and no claim shall be made by Seller in future.

12 Variations in Taxes, Duties and Levies

- 12.1 The total order value shall be adjusted on account of any variations in Statutory Levies imposed by Competent Authorities by way of fresh notification(s) within the stipulated delivery period only. However, in case of reduction in Taxes, Duties and Levies after the stipulated delivery period, the benefits of the same shall be passed on to Buyer.
- 12.2 No other Taxes, Duties & Levies other than those specified above will be payable by Buyer except in case of new Levies, Taxes & Duties imposed by the Competent Authorities by way of fresh notification(s) subsequent to the issue of PO but within the stipulated delivery period.
- 12.3 Notwithstanding what is stated above, changes in Taxes, Duties & Levies shall be applied only to that portion of PO (Purchase Order) not executed on the date of notification by Competent Authority. Further, changes in Taxes, Duties & Levies after due date of Delivery shall not affect PO Terms and Value.

13 Payments

- 13.1 Prices/ rates mentioned in this Purchase Order shall be firm prices/ rates and not subject to any increase or escalation. Any request for changes or revisions thereof shall be made in writing and will be considered only in exceptional circumstances e.g. increase in Government levies or taxes or disproportionate rise in prices of raw materials. In case of any fall in price/levies the same shall be passed on to the Buyer forthwith.
- 13.2 Buyer shall have no liability for payment of items delivered to Buyer which are in excess of quantities specified in this order and delivery schedules. Such items shall be subject to rejection and returned at Seller's expense, including transportation charges both ways. Buyer shall not be liable for any material or production costs incurred by Seller in excess of amount or in advance of the time necessary to meet Buyer's delivery schedules.
- 13.3 Seller shall mention complete Purchase Order number and item codes on Challan, invoices and correspondence. The Seller shall mention name of the company correctly, address and registration number on the tax invoices. Payment of the Seller's bills/invoices shall be effected as per the period mentioned in the Purchase Order, which period shall be taken from the receipt of the Seller's relevant bills/ invoice by the Buyer's Accounts Department or receipt of material by stores/concerned plant. Payment of any item under this Purchase Order shall not constitute acceptance thereof. In case of delay in payment due to any unavoidable circumstance, seller will not ask for any interest on outstanding amount from buyer.
- 13.4 In the event of any dispute between the Buyer and Seller with respect to the invoiced services or other related matters, the Buyer may, at their discretion, pay the undisputed amount and the Buyer and the Seller shall promptly seek to resolve the disputed amount. Non-payment of prices by the Buyer in such circumstances shall not constitute a default or breach of contract.
- 13.5 The Seller shall be responsible for all taxes, levies, duties, assessments, deductions of every nature required by law in connection with the provision of services.
- 13.6 In no event shall the Buyer be responsible for any taxes based on the Seller's net income or gross receipts, or other such taxes based on the Seller doing business in any particular jurisdiction. The Buyer shall make all deductions on payment of prices as required by law and provide the Seller with the requisite certification for deduction of tax at source.
- 13.7 Subject to the Clause 18 (Force Majeure), if the Seller fails to deliver any or all the goods and/or perform the services within the time period(s) specified in the Purchase Order, without prejudice to its other remedies under the Purchase Order / Contract, price reduction shall be applicable to the Total Purchase Order Value at 0.5% of the Purchase Order Value for each week or part thereof of delay until actual delivery or performance, up to a maximum reduction of 5% (five percent) of the Purchase Order Value. Once the maximum is reached, the Buyer may consider termination of the Purchase Order / Contract. The reduction will be effected while release of pending payments on delivery of goods. Notwithstanding what is stated in this clause, the Buyer shall also have a right to terminate the Purchase Order in the event the delay in supplying the goods/services by the Seller exceeds 30 days of the scheduled dates of supply. Notwithstanding the above, in case of any delay the Buyer also has the right to procure the goods/services from alternative source at the risk and cost of Seller.

14 Transfer of Title

- 14.1 The goods shall be consigned to the Buyer. The title of the goods shall be passed to the Buyer as soon as the goods reaches to Buyer's designated destination and the documents evidencing the title and despatch are transferred in favour of the Buyer. However, such passing of the Title of Ownership to the Buyer shall not in any way absolve, diminish or dilute the responsibility and obligation of the Seller, as per Purchase Order / Contract, including transit loss/ damages or delay in receipt of the goods at site.
- 14.2 The Seller warrants that the title to and ownership of goods is free of all liens and charges, whether during

design, engineering, manufacturing or shipment, or when incorporated into the scope of work or in storage on-site or off-site.

14.3 The Seller further warrants that prior to transfer of title to the Buyer it has and shall have good and marketable title to and ownership of all goods and other materials incorporated into the scope of work and which shall pass on to and vest in the Buyer free and clear of any lien or rights of other parties.

15. Cancellation

15.1 The Buyer shall reserve the right to cancel or rescind this Purchase Order in full or in part (at the discretion of the Buyer) by a written notice to the Seller in the event of:

15.1.1 Failure on the part of the Seller to comply with the terms and conditions of this Purchase Order.

15.1.2 Failure on the part of the Seller to deliver the goods in time and/or failure to give replacement of rejected goods promptly.

15.1.3 Seller becoming bankrupt or insolvent.

15.2 In the event of cancellation the Buyer shall be entitled to procure the goods through other sources and recover the excess amount, if any, over the Purchase Order price from the Seller, reserving the right to any or all of the remedies:

15.2.1 Forfeiture of the security, if any.

15.2.2 Invoking of the provision of penalty and compensation, if any, for delayed delivery.

15.2.3 Damages for non-delivery by way of difference between the market price and compensation for loss of production and consequently for loss of profit to the Buyer.

15.2.4 Full refund of the advance payment if any paid by the Buyer.

16 Warranty & Defects

16.1 The Seller warrants that the goods supplied under the Purchase Order are new, unused, of the most recent or current models / makes and incorporate all recent improvements in design and materials unless provided otherwise in the Purchase Order. The goods supplied under this Purchase Order shall have no defect arising from standard materials or workmanship or from any act of omission of the Seller that may develop under normal use of the supplied Goods in the conditions obtaining at Site, Goods will be under warranty for a period of 12 months from date of installation or 18month from date of supply whichever is early, unless specified anywhere in the PO.

16.2 The Seller further warrants that the goods has been designed, engineered, supplied, and commissioned in a manner so as to perform all its obligations under this Purchase Order:

a) Using skill, care and diligence to be expected of appropriately qualified and experienced professional engineers and manufacturers with experience in works of a type, nature and complexity similar to the goods.

b) In accordance with good modern engineering principles and practices of International standard;

c) The standards of all workmanship, manufacture and fabrication shall conform in all respects to the standards and codes of practice referred to in the Technical specifications and existing as on the date of signing of the Purchase Order;

d) Goods upon Taking-over and Final completion, be in accordance with all relevant requirements of the Purchase Order unless otherwise agreed in writing by the Buyer, or altered in accordance with a Variation instructed by the Buyer;

e) The goods are capable of being operated in accordance with the requirements of the Purchase Order and Good Industry Practice consistent with the Supplier's operating and maintenance manuals; and

f) The goods shall comply with the provisions of the Applicable Laws in effect on the date of taking over of the goods.

16.3 The Seller shall be responsible for promptly making good by replacement at FOR Site, repair and/or modification, as per the instruction of the Buyer at its expense any defect in any part of the goods which may appear during the Warranty Period in relation thereto and which arises from any failure to comply with the provisions of Clause 16.1 (Warranty) hereof. The warranty for such replaced items/components/parts shall be for a period of 12 months from the date of such replacement or as per the warranty agreed against the Purchase Order whichever is later.

16.4 If the Seller fails to commence and proceed diligently with the remedy of any such defect within 30 (thirty) days of receipt of notification thereof from the Buyer, the Buyer may remedy the defect at the Seller's expense provided that it does so in a reasonable manner in accordance with Good Industry Practice, notifies the Seller of its intention to do so and permits the Seller to inspect such repaired or replaced goods to ensure that quality standards have been maintained. The reasonable cost so incurred by the Buyer shall be deducted from the payables or from any of the securities provided by the Seller.

16.5 The Seller may with the consent of the Buyer, remove from the site at its own cost any part of the goods which is defective, if the nature of the defect is such that repairs cannot be expeditiously carried out on the Site.

16.6 Wherever it is established that a defect in a component is due to faulty design, the Seller shall replace all identical components, performing the same function, under the same working conditions with new ones based on the correct design even though, such components may have till then not given rise to any failure.

16.7 If any replacement, repair or modification is of such a character as may affect the subsequent performance of the goods or any part thereof in accordance with the Performance Guarantees (if applicable), the Buyer may within 90 (ninety) days after such replacement, repair or modification give to the Seller notice requiring that such further tests be conducted in respect of the relevant part as may be necessary and mutually agreed to demonstrate the adequacy and

efficacy of the replacement, repair or

16.8 If any Defect of the kind (i) significantly affects the operation or output of the goods, or (ii) arises as a result of any act or omission on the part of the Seller which a prudent Seller would have foreseen or avoided, shall appear in any part of the goods within a period of 3 (three) years after the expiry date of Warranty Period or in line with the agreement of the Purchase Order whichever is later for such part of the goods, the same shall be made good by the Seller by repair or replacement, provided that the Defect was "latent", i.e. could not have been discovered by a reasonable examination prior to the expiry of the Warranty Period. Such Defects shall not include those defects where (i) at the time of discovery of the defect, the repair or replacement is already contemplated for such parts under the recommendations contained in the operating and maintenance manuals, or (ii) if and to the extent that such defect has occurred due to the operation of the goods in a manner other than that advised in the final operation and maintenance manual submitted by the Seller to the Buyer.

17 After sales service & spares

17.1 Seller shall ensure to render effective after sales service, as applicable, by keeping the sufficient stock of goods (same type/brand/model) supplied under this Purchase Order to meet any future requirement of the Buyer at least for 5 years.

17.2 Seller shall supply the necessary spares for the goods supplied under this PO as and when required at any point of time in future at mutually negotiated rates and Terms.

18 Force Majeure

18.1 In the event of causes of force majeure as specified in Clause 18.2 herein below occurring within the agreed delivery times, the delivery date can be extended at the sole discretion of the Buyer on receipt of application from the Seller on such terms and conditions as may be directed by the Buyer.

18.2 The Force Majeure Events shall comprise the acts, events and circumstances, such as (i) act of war (whether declared or undeclared), invasion, armed conflict or act of foreign enemy, blockade, embargo, revolution, riot insurrection, civil commotion, act of terrorism or sabotage, in each case occurring inside or directly involving India and affecting the Seller in any way (the way in which this is affecting is to be proven with evidence); (ii) strikes, lockouts or other generalized labour action occurring throughout the Industry / country as a whole within India and affecting the Seller directly (excluding such events which are attributable to the Seller); (iii) Radioactive contamination or ionizing radiation or chemical contamination originating from a source in India and affecting the Seller directly or resulting from another Force Majeure Event; (i.e.) flood, cyclone, lightning, earthquake, drought, storm or any other extreme effect of the natural elements and affecting the Seller's work directly; (v) epidemic or plague, affecting the Seller directly; (vi) fire or explosion, affecting Seller directly except as may be attributable to the Seller; (vii) air crash or shipwreck which affects Seller's work directly; or (viii) an act of God.

18.3 If the effect of any events specified in clause 18.2 (Force Majeure) lasts for a continuous period of less than 3 (three) days, such events shall not be construed to be Force Majeure Events.

18.4 If Force Majeure Event continues beyond the period of 1(one) month from the beginning of the Force Majeure Event preventing the Seller from performing their obligations under the Purchase Order /Contract, the Buyer shall have the right to terminate the contract. No consequential damages shall be payable by the Buyer to the Seller in the event of such termination.

19 Disputes Resolution and Arbitration

19.1 Any dispute or difference whatsoever arising between the parties out of or relating to the construction, meaning, Scope, operation or effect of this Purchase order or the validity or the breach thereof shall be settled by arbitration in accordance with the Arbitration and Conciliation Act, 1996. The arbitration proceedings shall be governed by the rules of Arbitration of the Indian Council of Arbitration and the award made in pursuance thereof shall be binding on the parties.

19.2 The arbitration shall be conducted by a sole arbitrator. The Seller will select the sole arbitrator from a panel of three (3) arbitrators provided by the Buyer.

19.3 The seat of arbitration shall be Mumbai, India. Courts in Mumbai shall have exclusive jurisdiction.

19.4 The language to be used in the arbitral proceedings shall be English language.

19.5 Performance under the Contract shall be continued during the arbitration proceedings unless otherwise directed by the Employer in writing or unless the matter is such that the performance cannot be possibly continued until the decision of arbitrator is obtained.

20 Governing Law, Jurisdiction and Language

20.1 This Purchase Order, the construction and enforcement of its terms and the interpretation of the rights and duties of the parties hereto shall be subject to and governed by laws of India without reference to the provisions of conflict of laws.

20.2 All disputes relating to the Purchase Order shall be subject to the Jurisdiction of courts in Mumbai only.

20.3 All literature, correspondence and other documents between the Parties shall be in written and shall be in English.

21 Notices

21.1 All notices by either party to the other shall be in writing and shall be valid and sufficient if dispatched by registered mail or courier or email and sent to address of the parties as specified in the Purchase Order with 'kind attention' to the officer specified in the Purchase Order or at such other address as the parties may from time to time designate in writing.

21.2 Any notices provided for herein shall be deemed to have been given, unless expressly provided herein, at the time of receipt. When sent by registered mail or courier, said notice shall be deemed to have been received at the commencement of the business day seven (7) days following posting or the next business thereafter if the seventh day is not a regular business day in the place of receipt unless, receipt is acknowledged earlier. If notices are sent by email to the recipient at the address stated above, said notice shall be deemed to have been received at the time of transmittal provided it is transmitted on a regular business day in the place of receipt.

22 Assignment

22.1 This Purchase Order or any part thereof shall not be assigned to any other party by the Seller without obtaining prior written consent of the Buyer. None of the sums due or to become due nor any of the work to be performed under this order shall be assigned nor shall Seller subcontract for completed or substantially completed material called for by this Purchase Order without Buyer's written consent.

22.2 The Seller shall not assign this Purchase Order or any of its rights and obligations hereunder, without the prior written consent of the Buyer; any such attempted assignment shall be null and void.

22.3 This Purchase Order is and shall be binding upon and inure to the benefit of parties and their respective legal representatives, successors and permitted assigns with respect to all covenants herein.

23 Waiver

23.1 The failure of the Buyer to insist in any one / more instances upon the performance of any of the terms, covenants or conditions of this Purchase Order or to exercise any right hereunder, shall not be construed as a waiver or relinquishment of the future performance of any such terms, covenants or conditions or the future exercise of such right, but the obligation of Seller with respect to such future performance shall continue in full force and effect.

24 Right to set off

24.1 The Buyer shall be entitled to recover from the Seller any sum due to the Buyer on account of any damages or otherwise whether in respect of supplies under the Purchase order or otherwise, by deduction of sums from the amount due by them to the Seller in respect of supplies made under any earlier or subsequent Purchase Order.

25 Secrecy and Confidentiality

25.1 The Seller shall treat the details of this Purchase Order and any information made available in relation thereto including but not limited to specifications, plans, drawings, samples and technical data, as private and confidential and shall not publish or disclose the same or any particulars thereof, without the previous written consent of the Buyer, provided that nothing in this Clause shall prevent the publication or disclosure of any information that has come within the public domain otherwise than by breach of this Clause.

25.2 The Seller shall not, without the Buyer's prior written consent, make use of any document or information, enumerated in aforesaid Para 24.1, (Confidential Information) except for purposes of performing the Contract.

25.3 Any document, other than the Purchase Order / Contract itself, enumerated in aforesaid Para 24.1, (Confidential Information) shall remain the property of the Buyer and shall be returned (in all copies) to the Main Contractor on completion of the Seller's performance under the Purchase Order / Contract, if so required by the Buyer.

26 Severability

26.1 In the event any one/more of the provisions of this Purchase Order shall, for any reason, be held to be invalid, illegal or unenforceable, the remaining provisions of this Purchase Order shall be unaffected and the invalid, illegal or unenforceable provisions shall be replaced by mutually acceptable provisions, which being valid.

27 Business Ethics

27.1 Buyer requires that the Seller, including any person acting on their behalf, observes highest standard of ethics during the procurement and execution of the Purchase Order. In pursuance of this policy, Buyer shall be within their right to terminate this contract, if it determines that the Seller had engaged in corrupt or fraudulent practices.

27A ABAC Clause

The Subcontractor acknowledges that KPTL expects the Subcontractor to conduct business ethically and lawfully.

I. In consideration of KPTL entering into this Agreement, the Subcontractor shall:

- a. comply with the applicable laws relating to anti-bribery and anti-corruption and will not take any action or fail to take any action that would cause KPTL or any of its affiliates or its customers/clients to fail to comply with any applicable anti- corruption legislation;
- b. maintain in place its own policies and procedures to ensure compliance with the provisions of this Schedule and will enforce them wherever applicable;
- c. not offer or give gratuities in the form of entertainment, gifts or otherwise, or kickbacks, by itself or through its directors, executives, officers or other employees (whether permanent, fixed term or temporary), consultants, or contractors to any employee of KPTL, or any employee of the Owner, or any person thereto, for securing a favorable treatment from them;
- d. not take any actions in furtherance of an offer, payment, promise to pay, or authorization of the payment or giving of money, or anything else of value, to any government officials/ entities or to any non-government official / entity for the purposes of obtaining or retaining business, an advantage in the conduct of business or securing any improper advantage.
- e. promptly report through an email to the local compliance team or to the single point of contact at KPTL any

- request, or demand for any undue financial or other advantage of any kind received by it or its executive in connection with the performance of this Agreement;
- f. immediately notify KPTL in writing, if any public official or employee of the Owner, becomes an officer or employee of the Subcontractor, or acquires a direct or indirect shareholding interest in the Subcontractor. The Subcontractor warrants and represents that as of the Effective Date of this Agreement there are no public officials who are officers, employees or direct or indirect owners of the Subcontractor;
- g. permit KPTL, its authorized representative, including third party auditors to inspect the accounting books and records relevant to the Agreement.
- II. If the Project is funded by one of more funding bank or institution (the "#Bank"), the Bank's anticorruption policy (as amended from time to time) shall apply to all suppliers, contractors and subcontractors under Bank-financed contracts, and to observe the highest standard of ethics during the procurement and execution of such contracts. The Subcontractor and their sub subcontractors, vendors, suppliers shall comply with such policies of the Bank and permit KPTL, KPTL's representative, Bank or its representative to inspect the accounts and records and conduct audit relating to the performance of the Agreement.
- III. Failure to comply with the above provisions shall constitute material breach of the Agreement. KPTL reserves the right to terminate the Agreement with immediate effect without any notice or cure period in such an event.

28 Statutory Compliances

- 28.1 Seller shall at all times comply with all applicable laws, statutes, ordinances, rules, regulations and other governmental requirements, and to the fullest extent permitted by applicable law Seller shall fully defend, indemnify and hold Buyer, its affiliates, subsidiaries, directors, officers, agents, servants and employees, harmless from and against any and all claims, demands, suits, judgments, actions, causes of action, losses, damage, liabilities, costs and expenses, including actual attorneys' and experts' fees and costs, arising from the death of or personal injury to any person including but not limited to Seller's own employee(s), from damage to or destruction of personal or real property, or from the breach of any warranty in this Purchase Order, arising from or in any way related to the supply, delivery or provision of any equipment, product, materials, supplies, tools, work or services by Seller, its agents, servants or employees.
- 28.2 The Seller shall in their performance of the Contract and carrying out of the scope of works ascertain and comply with the applicable laws. The Seller shall indemnify the Buyer, their Affiliates and their respective directors, officers, employees and agents against losses, claims and liabilities, including any governmental penalties and sanctions payable to a Competent Authority, together with any legal expenses incurred in connection therewith, to the extent arising out of any failure of the Seller, any Sub-Supplier or their respective agents or employees to comply with applicable laws and / or in the performance of the Contract.
- 28.3 If the Seller finds any divergence between the Applicable Law and the Performance Guarantees or the Technical Specifications (other than Change in Law) they shall immediately give to the other Party written notice specifying the divergence. The Seller shall promptly upon becoming aware of the same, inform the Buyer in writing of its proposed amendment for removing the divergence, and with the Buyer's consent the Seller shall entirely at their own cost and expense complete the Works in accordance with the amendment.
- 28.4 For allotted / assigned job work, seller shall be solely responsible for all taking necessary safety precautions for all labours engaged directly/indirectly by him. Seller shall be responsible for providing certificate under MSMED Act, 2006 (if applicable) and shall also be responsible for cover all labours engaged directly or indirectly by him under ESIS & PF Acts and any other such prevailing Acts and proof of the same shall be produced before commencing the work.
- 28.5 Seller shall be solely responsible for any compensation towards their labours appointed directly or indirectly, which may arise due an accident of fatal or non-fatal by nature during execution of the assigned job.
- 28.6 Seller shall be responsible for practicing and following all the safety norms and standards laid by Buyer time to time, upon breaching of which, Buyer may terminate above said Purchase Order/ Contract or may impose penalty for the same which shall be recovered from any pending invoices / bills due to the Seller. In case of the termination of Purchase Order / Contract Buyer shall not be liable to pay any compensation towards cancellation of the job / work assigned to the Seller.
- ## 29 Erection & Commissioning, technical assistance and Training
- 29.1 Where the goods supplied require Erection & Commissioning or supervision of such activities, the Seller shall depute such number of technicians as required by the Buyer for period specified by the Buyer for erection and commissioning or supervision of such activities at the location(s) specified by the Buyer.
- 29.2 Seller's technicians shall also train a few of the Buyer's personnel for the operation and maintenance of the equipment and provided with all relevant information as per the terms of the Purchase Order/ Contract.
- 29.3 Cost of such technicians shall be borne by the Seller unless specifically provided for in the Purchase Order.
- 29.4 Any loss incurred due to damage during the Erection & Commissioning shall be borne by the Seller.
- 29.5 If Buyer requires any technical assistance at any point of time related to functioning/performance of the goods supplied under this Purchase Order, the Seller shall arrange for the same free of cost during warranty period.
- 29.6 Seller shall provide sufficient training to Buyer's engineers/technicians for installation, operation and

maintenance of the goods wherever required at free of cost.

30 Indemnification

- 30.1 The Seller shall indemnify and keep indemnified the Buyer against all claims including but not limited to demands, fines, penalties and damages arising from any breach or non-compliance of any statutory duty or liability under the existing statute or statutes which would come into force in future in respect of the Seller's acts or commission during the period of and pertaining to the Purchase Order or after its termination but related to the events that have occurred during the period and pertaining to the Purchase Order.
- 30.2 The Seller shall agree and undertake that in all cases where the price quoted by Seller is inclusive of duties / levies / imposts or shown separately then in that event, it shall be the Seller's responsibility to pay the same on the Seller's own account. Wherever the Purchase Order is inclusive of Octroi Duty the Seller shall pay full Octroi at concerned check-post and submit the Octroi receipt and Form B (where applicable) along with the invoice. Wherever the Purchase Order is exclusive of Octroi Duty, the Seller shall pay full octroi at concerned check-post in the name of the Buyer and submit the Original Octroi receipt and Form B (where applicable) along with the invoice and the same shall be reimbursed by the Buyer.
- 30.3 The Seller shall agree and confirm that Seller shall never hold the Buyer responsible for the discharge of liability towards payment of such statutory dues and further agree to indemnify / keep indemnified the Buyer against all losses / claims / demands that the Buyer has to incur / suffer / be put to for non-payment of such dues by Seller and to reimburse the same to the Buyer together with interest at 18% p.a. The Seller shall produce original octroi receipt along with invoice / bill whenever it is shown separately in Purchase Order.

31 Headings

- 31.1 The headings in this Agreement are for purposes of reference only and shall not in any way limit or otherwise affect the meaning or interpretation of any of the terms hereof.

32 Integration

- 32.1 The Purchase Order along with these General Terms and Conditions of Purchase conveys the final agreement between the parties on the terms and conditions and is a complete and exclusive statement of the terms of their agreement.
- 32.2 In the event of conflict between any terms and conditions specifically mentioned in the Purchase Order and these General Terms and Conditions, the Purchase Order shall take precedence.

For Kalpataru Power Transmission Limited,